

Jindal Poly Films

Manufacturing

Private equity player: Saif Partners

Stake: 6.6%

Deal Size: \$12.4 million

Sunteck Realty

Real Estate

Private equity player:

Kotak Realty Fund

Stake: 10%

Deal Size: \$35 million



"Several PIPE deals have happened recently since promoters believe it's long-term capital."

ASHISH DHAWAN, SENIOR MANAGING DIRECTOR, CHRYSCAP

add comes if a renowned equity player is on the board. While some companies prefer to take the preferential allotment route and dilute capital to get strategic inputs from private equity players, others take this route in case of a change in environment.

This year's budget, for instance, took away tax-free earnings of construction companies from NHAI projects, resulting in stock prices of construction companies crashing. This hit even large players like Nagarjuna Constructions which had already got its qualified institutional placement plan cleared from SEBI, but the issue would have had no takers as the market price was lower than the issue price. Under such circumstances, a \$150-million (Rs 600 crore) investment from Blackstone came as a boon for the company. Says Y.B. Murthy, CFO of Nagarjuna Constructions: "The investment from Blackstone was welcome as we were

looking for long-term global investors who could participate at the board level and bring expertise."

In addition to strategic inputs, global equity firms also bring with them global connections which Indian firms can leverage upon. For instance, US-based financial services giant Citigroup and private equity major Blackstone have joined hands with infrastructure finance companies like IDFC and India Infrastructure Finance Company to set up a \$5 billion (Rs 20,000 crore) fund to finance the India Infrastructure Financing Initiative. Any investee company of Blackstone would stand to gain from such developments.

From hand-holding to efficient capital, private equity firms are opening up a whole new world for India's small and medium companies. In business, opportunity is the mother of investment. Now, it's time to look beyond the mighty Sensex companies.

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